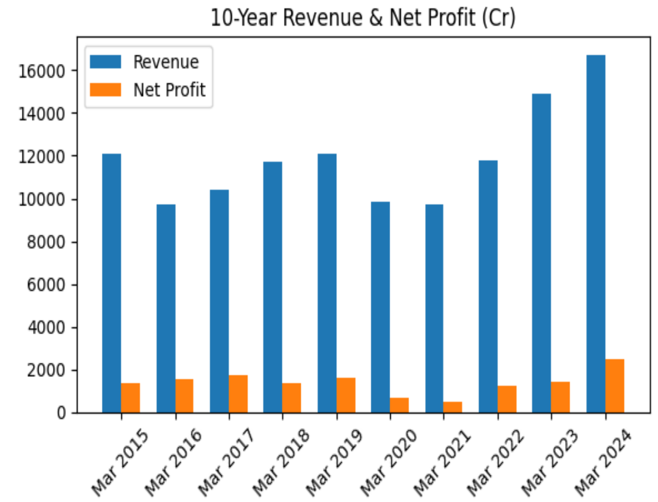
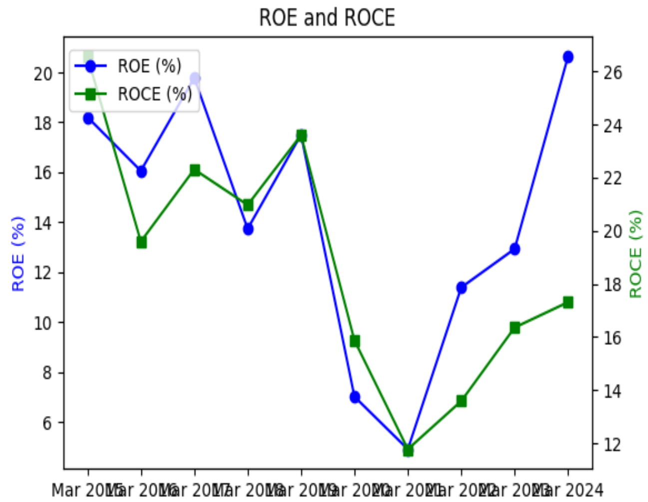
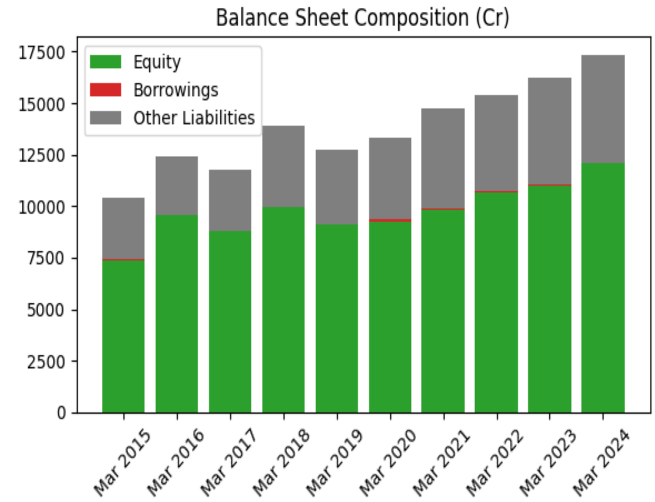
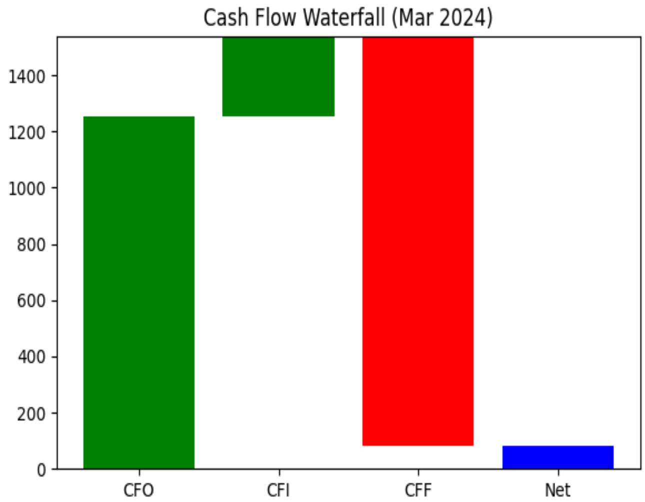
Bosch Ltd (BOSCHLTD)

Revenue ■17,150 Cr	**Net Profit** ■2,084 Cr	**ROE** 20.6%
ROCE 17.3%	**CFO Quality** Moderate	**Allocation** Liquidating Assets









Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Consistent dividend yield above 2% backed by positive free cash flow
- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Macro-economic headwinds may pose challenges to near-term growth

Capital Allocation Pattern: Liquidating Assets